

Tesla, Inc.
 TSLA NASDAQ

Hold	\$303.65 ▼ 1.80%	12M Price Target \$320.00	52-Week Range \$297.82 – \$498.83	Market Cap \$1.20T
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TSLA: Oversold But BYD Eating Its Lunch

WHAT HAPPENED

- TSLA is down ~19% in a week (from \$374 to \$303) and is now sitting at just 3% of its 52-week range — meaning it's basically at the floor of where it's traded all year. The Yahoo piece calling it "oversold" is technical-speak for "the selling has been so aggressive that a bounce is statistically due" — but oversold stocks can stay oversold.
- The BYD vs TSLA split-screen is the story: BYD +22%, TSLA -23%. That's not a coincidence — it's the market voting that China's EV champ is winning the global EV war while Musk tweets about Treasury checks and "money not mattering in 2036."

WHY IT MATTERS

The Musk-Trump feud has real consequences now. Musk spent months running DOGE trying to cut spending, then publicly broke with the administration, and now he's musing about universal basic income — which reads as a CEO who's checked out. That matters because Tesla's bull case depends on regulatory goodwill for robotaxis (federal AV rules) and EV tax credits that were just gutted in the "Big Beautiful Bill." Meanwhile the Arizona power deal is a legit positive for the energy storage business, but it's getting drowned out by noise. Bottom line: the fundamental EV business is losing share to BYD globally, and the AI/robotaxi story needs Washington on its side — right now, it isn't.

POLICY & POLITICAL WATCH

The \$7,500 federal EV tax credit expired September 30, 2025 under the reconciliation bill — that's already showing up in demand and is a direct headwind. Watch for the NHTSA's updated autonomous vehicle framework expected this fall; a permissive federal preemption of state AV rules would be a massive win for robotaxi rollout, but a Musk-hostile White House may slow-walk it. Also watch China tariff escalation — while it keeps BYD out of the US, it raises Tesla's own component costs since they still source heavily from Chinese battery suppliers.

IS IT EXPENSIVE?

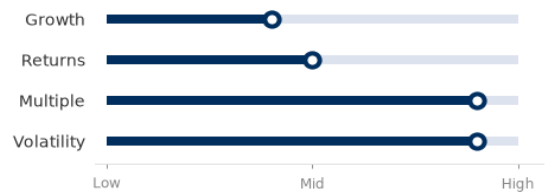
Even after this crash, you're paying roughly \$164 for every \$1 of expected earnings — Ford trades at \$8, GM at \$6. The bull argument is you're not buying a car company, you're buying an AI/robotaxi/energy platform. Fair — but at a \$1.2T market cap, a LOT of that future is already priced in, and the core auto business is shrinking margins while losing share. This isn't cheap; it's just less insanely expensive than last week.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$303.65
12M Price Target	\$320.00
Upside / (Downside)	+5.4%
Market Cap	\$1.20T
FY2026E Revenue	\$102M
FY2027E Revenue	\$118M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.40
Fwd P/E	164.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$340.00	\$305.00	\$275.00
6 Months	\$400.00	\$320.00	\$240.00
1 Year	\$475.00	\$320.00	\$210.00
2 Years	\$550.00	\$350.00	\$180.00
5 Years	\$750.00	\$400.00	\$150.00
10 Years	\$1200.00	\$550.00	\$120.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Staples (+3.9%) and Healthcare (+2.6%) — classic defensive rotation, which tells you institutions are getting cautious. Materials also strong on infrastructure spending momentum.

COOLING OFF: Growth/tech leadership is fracturing — Apple just passed Nvidia as most valuable company because investors are punishing "capex pitfalls" (companies spending billions on AI infrastructure with unclear returns). Tesla fits that exact profile.

ROTATION WATCH: Money is flowing OUT of high-multiple AI/growth names and INTO defensive quality. That's a headwind for TSLA specifically because it's the poster child for "expensive story stock."

RELATED PLAY: If you believe the EV story globally, BYD (BYDDY) is the cleaner trade right now. If you want the robotaxi angle without Musk risk, Mobileye (MBLY) and Aurora (AUR) are smaller pure-plays.

WHO'S WINNING IN THIS SPACE?

- BYDDY (BYD Company): Up 22% while Tesla craters — winning the global EV volume war and now expanding aggressively in Europe, Southeast Asia, and Latin America.
- AAPL (Apple): Just retook most-valuable-company crown by NOT overspending on AI — the market is rewarding capital discipline, which is the opposite of Tesla's story.

TSLA CONTEXT: Tesla is badly lagging both its EV peers (BYD) and its "AI platform" peers (AAPL, MSFT). That tells you the market has stopped giving Tesla the benefit of the doubt on both narratives simultaneously — which is a meaningful sentiment shift, not just a dip.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — Cautiously neutral. Oversold bounce is likely, but the fundamental story has cracks I can't ignore.

POSITION SIZE: 2-3% max. This is a volatile name with binary AI/robotaxi outcomes — size it so a 40% drawdown doesn't ruin your year.

ENTRY POINTS: I'd wait for either a capitulation flush to \$285-295 with volume, OR confirmation that \$300 holds and we get back above \$320 on a catalyst. Don't catch a falling knife here.

TIME HORIZON: 12-18 months — you need to see Q3/Q4 delivery numbers, robotaxi rollout data, and clarity on the Musk political situation.

WHEN TO BAIL: If Tesla loses another quarter of market share to BYD globally, OR if \$275 breaks on volume, OR if Musk announces another major political venture that pulls him further from the company.

HEDGING: Simplest hedge is owning some BYD alongside — if Tesla loses, BYD probably wins, and vice versa. Or just size smaller and sleep better.